NMLS SAFE MLO

Full-Length Practice Exam Phase 1 — Exam 3

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	**100%**	**120**

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM Phase 1 — Exam 3 — QUESTIONS (1–120)

■■ Federal Laws ■■

[Federal Laws — TRID]

1. All of the following are required elements of a 'complete application' that triggers the Loan Estimate EXCEPT:

A) Name of the applicant
B) Income of the applicant
C) Property address
D) Employer name and contact information

[Federal Laws — TRID]

2. All of the following are in the ZERO tolerance category under TRID EXCEPT:

A) Lender origination charges
B) Transfer taxes
C) Third-party services selected by the borrower from the lender's written list
D) Third-party services where the lender selects the provider

[Federal Laws — TRID]

3. All of the following constitute valid 'changed circumstances' that permit a revised Loan Estimate EXCEPT:

A) A natural disaster making the property uninhabitable
B) New information about the borrower's income discovered after the LE
C) A lender error in calculating title insurance fees
D) The borrower requesting a change in loan program

[Federal Laws — TRID]

4. All of the following are true about the Closing Disclosure EXCEPT:

A) It must be received at least 3 business days before consummation
B) Saturday counts as a business day for the CD waiting period
C) The lender bears ultimate responsibility for providing the CD
D) The CD waiting period may never be waived under any circumstances

[Federal Laws — TRID]

5. All of the following fees are in the 10% aggregate tolerance bucket EXCEPT:

A) Recording fees
B) Third-party services the borrower selected from the lender's list
C) Pest inspection fees (required by lender, provider selected by borrower from list)
D) Transfer taxes

[Federal Laws — TRID]

6. All of the following statements about the LE mailing rule are true EXCEPT:

A) A mailed LE is deemed received 3 business days after mailing
B) The lender may use electronic delivery with proper consent
C) If mailed, the 7-business-day waiting period begins 3 days after mailing
D) Saturday does NOT count as a business day for the mailing presumption

[Federal Laws — TRID]

7. All of the following are true about the TRID 'Intent to Proceed' EXCEPT:

A) It is the borrower's indication they want to move forward with the application
B) It must be provided in writing and signed by the borrower
C) After Intent to Proceed, the lender may collect fees beyond the credit report fee

D) It does not constitute a rate lock or a commitment to lend

[Federal Laws — TRID]

8. Which of the following is NOT a valid reason for the lender to issue a revised Loan Estimate under TRID?

A) The borrower locks the interest rate for the first time

B) The original LE expires after 10 business days without Intent to Proceed

C) The lender's processing costs increased due to market conditions

D) A flood zone determination requires flood insurance not previously anticipated

[Federal Laws — TRID]

9. All of the following are true about TRID's no-tolerance (no-limit) items EXCEPT:

A) Prepaid interest

B) Homeowner's insurance premiums

C) Property taxes

D) Title search fees from a provider the borrower chooses from the lender's list

[Federal Laws — TRID]

10. All of the following are true about TRID's application to specific loan types EXCEPT:

A) TRID applies to most closed-end consumer mortgages secured by real property

B) TRID applies to HELOCs

C) TRID does not apply to reverse mortgages (which have their own disclosure rules)

D) TRID applies to purchase loans, refinances, and construction loans

[Federal Laws — RESPA]

11. All of the following are RESPA Section 8 violations EXCEPT:

A) A title company paying a real estate agent $200 per referral

B) A lender hosting a lavish dinner for agents who refer business

C) An MLO accepting a $50 gift card from a title company after a referral

D) Two companies in which the same person has ownership interest cross-referring business with proper AfBA disclosure

[Federal Laws — RESPA]

12. Which of the following is NOT covered by RESPA?

A) A purchase money mortgage on a single-family home

B) A refinance loan on an owner-occupied duplex

C) A construction loan to build a new single-family home that will be converted to a permanent mortgage

D) A commercial mortgage loan on a 6-unit apartment building

[Federal Laws — RESPA]

13. All of the following are true about RESPA's escrow account requirements EXCEPT:

A) The maximum cushion permitted is 2 months of estimated escrow payments

B) Surplus over $50 must be returned within 30 days

C) The servicer must conduct an annual escrow analysis

D) Shortages may never be collected from the borrower over time

[Federal Laws — RESPA]

14. Which of the following is NOT a requirement for a permissible Affiliated Business Arrangement under RESPA?

A) The AfBA disclosure must be provided at or before the time of the referral

B) The consumer must be informed they are free to shop for competing providers

C) The return on the arrangement must be limited to ownership interest — no per-referral fees

D) The affiliated company must be jointly owned at a minimum 51% threshold

[Federal Laws — RESPA]

15. All of the following statements about Qualified Written Requests (QWRs) are true EXCEPT:

A) A QWR must be in writing

B) The servicer must acknowledge within 5 business days

C) The servicer must resolve the matter within 30 business days

D) A QWR can be used to dispute the interest rate terms of the original loan

[Federal Laws — RESPA]

16. All of the following settlement service providers are covered by RESPA Section 8 EXCEPT:

A) Title insurance companies

B) Mortgage lenders

C) Real estate agents

D) Moving companies

[Federal Laws — RESPA]

17. Which of the following transactions is EXEMPT from RESPA coverage?

A) A VA loan used to purchase a primary residence

B) An FHA loan on a 1-4 family property

C) A bridge loan with a term of 6 months

D) A conventional conforming loan on a condominium

[Federal Laws — RESPA]

18. All of the following are true about RESPA's Good Faith Estimate (GFE) EXCEPT:

A) The GFE was replaced by the Loan Estimate under TRID for applications on or after October 3, 2015

B) The GFE was a disclosure of estimated settlement costs

C) The GFE still applies to reverse mortgage loan applications

D) The GFE applies to all new residential mortgage applications after October 3, 2015

[Federal Laws — RESPA]

19. A real estate agent who refers clients to a mortgage company receives no compensation from the mortgage company. However, the mortgage company always refers its clients back to that agent's brokerage for buyer agent services. Under RESPA Section 8:

A) This is a permissible reciprocal referral arrangement

B) This is a RESPA Section 8 violation — the referral of buyer agent business has economic value and constitutes a 'thing of value'

C) This is permissible because there is no direct cash exchange

D) This is permissible because both companies are licensed

[Federal Laws — RESPA]

20. Which of the following is NOT required to be on the RESPA Section 5 'Special Information Booklet' that lenders must provide to purchase loan applicants?

A) Information about the real estate settlement process

B) Explanation of the Loan Estimate

C) Contact information for filing complaints with the CFPB

D) A full amortization schedule for the borrower's specific loan

[Federal Laws — TILA]

21. The TILA right of rescission applies to all of the following EXCEPT:

A) A refinance of a primary residence with a new lender

B) A home equity line of credit on a primary residence

C) A second mortgage on a primary residence

D) A purchase money mortgage on a primary residence

[Federal Laws — TILA]

22. All of the following are correct regarding TILA's right of rescission business day count EXCEPT:

A) Saturday counts as a business day for rescission purposes

B) Sunday does NOT count as a business day for rescission purposes

C) Federal holidays do NOT count as business days for rescission purposes

D) The 3-day rescission period begins on the day of consummation

[Federal Laws — TILA]

23. All of the following loans require TILA disclosures EXCEPT:

A) A 30-year fixed-rate mortgage

B) A HELOC on a primary residence

C) A credit card account

D) A business loan secured by the owner's primary residence

[Federal Laws — TILA]

24. TILA's APR tolerance allows which of the following EXCEPT:

A) A 1/8% understatement on a fixed-rate level-payment loan

B) A 1/4% understatement on an adjustable-rate mortgage

C) A 1/8% overstatement on any loan type

D) A 1/4% overstatement on a balloon payment loan

[Federal Laws — TILA]

25. All of the following are trigger terms in TILA mortgage advertising EXCEPT:

A) A specific monthly payment amount

B) The annual percentage rate (APR)

C) A specific down payment amount

D) A specific number of payments

[Federal Laws — TILA]

26. All of the following are true about TILA's Finance Charge EXCEPT:

A) The Finance Charge represents the dollar cost of credit

B) Lender origination fees are included in the Finance Charge

C) Hazard insurance premiums are always included in the Finance Charge

D) The APR is derived from the Finance Charge

[Federal Laws — TILA]

27. All of the following consumers have the right to rescind under TILA EXCEPT:

A) A borrower who refinances their primary residence with the same lender

B) A borrower who takes out a HELOC on their primary residence

C) A borrower who takes out a second mortgage on their primary residence

D) A borrower purchasing their primary residence with an FHA loan

[Federal Laws — TILA]

28. Under TILA, all of the following must be included in the Finance Charge EXCEPT:

A) Loan origination fees

B) Discount points paid to reduce the interest rate

C) Appraisal fees required by the lender

D) Mortgage broker fees

[Federal Laws — ECOA]

29. All of the following are ECOA protected classes EXCEPT:

A) National origin
B) Marital status
C) Familial status
D) Age (if able to enter a contract)

[Federal Laws — ECOA]

30. All of the following are appropriate specific ECOA adverse action reasons EXCEPT:

A) Insufficient income to support the requested loan amount
B) Excessive obligations in relation to income
C) Credit application incomplete — supporting documentation not provided
D) Did not meet our internal credit standards

[Federal Laws — ECOA]

31. All of the following are true about ECOA's adverse action notification EXCEPT:

A) The notification must include specific reasons for denial
B) A counter-offer with worse terms is NOT adverse action if the applicant accepts the counter-offer
C) Incomplete applications closed for incompleteness require adverse action notices
D) Adverse action notices must be provided within 30 days of the completed application

[Federal Laws — ECOA]

32. Which of the following factors may a lender NOT consider when evaluating a credit application under ECOA?

A) The applicant's credit score
B) The applicant's debt-to-income ratio
C) Whether the applicant's income comes from public assistance
D) The applicant's current employment status

[Federal Laws — ECOA]

33. All of the following information may be requested by a lender on a credit application EXCEPT:

A) The applicant's income
B) The applicant's number of children
C) The applicant's SSN for credit check purposes
D) The applicant's employment history

[Federal Laws — ECOA]

34. All of the following are true about ECOA's appraisal copy requirement EXCEPT:

A) The lender must provide the appraisal copy promptly
B) The borrower must receive the appraisal no later than 3 business days before consummation
C) The borrower may waive their right to receive the appraisal copy
D) The borrower may waive the 3-business-day timing requirement but must still receive the copy

[Federal Laws — ECOA]

35. All of the following are examples of disparate treatment discrimination under ECOA EXCEPT:

A) Charging Hispanic applicants higher origination fees than similarly situated White applicants
B) Requiring Black applicants to provide more documentation than White applicants with similar credit profiles
C) A minimum loan amount policy that results in fewer loans to minority applicants because of smaller loan requests
D) Referring minority applicants to a subprime division while referring White applicants with similar credit to a prime division

[Federal Laws — ECOA]

36. All of the following are true about ECOA notifications EXCEPT:

A) Lenders must notify applicants of approval or denial within 30 days of completed application

B) Applicants who receive counter-offers have 90 days to accept before the counter-offer expires for ECOA purposes

C) Lenders must inform applicants of their right to request specific denial reasons within 60 days

D) Notification requirements apply to both completed and incomplete applications

[Federal Laws — ECOA]

37. An MLO may legally collect which of the following information on a mortgage application WITHOUT potential ECOA concerns?

A) The applicant's religion

B) The applicant's national origin for HMDA reporting with proper notices

C) The applicant's marital status as a proxy for credit risk

D) The applicant's childbearing plans

[Federal Laws — ECOA]

38. All of the following are true about ECOA's coverage EXCEPT:

A) ECOA covers all aspects of a credit transaction

B) ECOA applies to consumer and business credit

C) ECOA protects only individual consumers, not businesses

D) ECOA applies regardless of the loan amount

[Federal Laws — Fair Housing]

39. All of the following are protected classes under the federal Fair Housing Act EXCEPT:

A) Race

B) Marital status

C) Familial status

D) Handicap (disability)

[Federal Laws — Fair Housing]

40. All of the following are Fair Housing Act violations EXCEPT:

A) A landlord refusing to rent to families with children

B) A lender charging higher rates to applicants based on their national origin

C) A real estate agent steering Black buyers to predominantly Black neighborhoods

D) An owner of a 2-unit building in which they reside refusing to rent to a couple based on their religion

[Federal Laws — Fair Housing]

41. All of the following statements about the Fair Housing Act's 'handicap' (disability) protections are true EXCEPT:

A) Lenders may not refuse credit based solely on an applicant's disability

B) Landlords must make reasonable accommodations for disabled tenants

C) The FHA defines handicap to include current illegal drug use

D) The FHA protects individuals who are regarded as having a disability even if they do not

[Federal Laws — Fair Housing]

42. All of the following are examples of illegal steering EXCEPT:

A) An agent showing minority buyers only properties in minority neighborhoods

B) An MLO referring Black applicants only to high-cost loan products

C) A lender recommending a specific title company that offers good service regardless of the neighborhood

D) An agent discouraging a White family from buying in a diverse neighborhood by suggesting it 'might not be right for them'

[Federal Laws — Fair Housing]

43. All of the following are true about the Fair Housing Act's exemptions EXCEPT:

A) The Mrs. Murphy exemption applies to owner-occupied 1-4 unit properties
B) Religious organizations may restrict housing to members of their religion for non-commercial housing
C) Senior housing communities can legally restrict occupancy to persons 55+ if they meet HUD criteria
D) The exemptions allow discrimination based on race in all exempt properties

[Federal Laws — Fair Housing]

44. Which of the following is NOT a prohibited practice under the Fair Housing Act?

A) Redlining
B) Blockbusting
C) Steering
D) Charging market-rate rent to a tenant who is a racial minority

[Federal Laws — HOEPA]

45. All of the following are prohibited on a HOEPA high-cost loan EXCEPT:

A) Balloon payment maturing in 3 years
B) Negative amortization
C) Prepayment penalty
D) Fixed interest rate

[Federal Laws — HOEPA]

46. Which of the following is NOT a HOEPA high-cost loan trigger?

A) APR exceeding APOR by 6.5 percentage points on a first-lien loan
B) Points and fees exceeding 5% on a loan of $25,000
C) APR exceeding APOR by 8.5 percentage points on a subordinate lien
D) A prepayment penalty period exceeding 3 years

[Federal Laws — HOEPA]

47. All of the following are true about HOEPA's counseling requirement EXCEPT:

A) The counselor must be HUD-approved
B) Counseling must occur before the loan is made
C) The lender's in-house counselor may provide the required counseling
D) The borrower must certify receipt of counseling

[Federal Laws — HOEPA]

48. Which of the following is NOT a HOEPA-prohibited practice?

A) Loan flipping — repeated refinancing without tangible net benefit
B) Equity stripping — lending based solely on equity without regard to repayment ability
C) Offering a high-cost loan with a fixed 30-year amortization
D) Mandatory arbitration clauses in high-cost loan agreements

[Federal Laws — HOEPA]

49. All of the following are true about HOEPA's points-and-fees calculation EXCEPT:

A) Loan origination fees are included in points and fees
B) Discount points paid bona fide to reduce the rate (within limits) may be excluded
C) Title insurance premiums are always included in points and fees
D) Yield spread premiums paid by lenders to brokers are included

[Federal Laws — HOEPA]

50. All of the following statements about HOEPA's coverage are true EXCEPT:

A) HOEPA covers purchase money mortgages that meet the high-cost triggers

B) HOEPA covers refinances that meet the high-cost triggers

C) HOEPA covers open-end credit (HELOCs) that meet the high-cost triggers

D) HOEPA covers credit card debt that meets the high-cost triggers

[Federal Laws — HMDA]

51. All of the following are reportable under HMDA EXCEPT:

A) A denied application for a home purchase loan

B) A withdrawn application for a refinance loan

C) A bridge loan with a 9-month term

D) A home improvement loan secured by a dwelling

[Federal Laws — HMDA]

52. All of the following are true about HMDA's Loan Application Register (LAR) EXCEPT:

A) Lenders must submit the LAR annually

B) The LAR is a public document available to anyone who requests it

C) The LAR includes the names of individual loan applicants

D) The LAR includes the race, ethnicity, and sex of applicants

[Federal Laws — HMDA]

53. All of the following are HMDA-reportable lenders EXCEPT:

A) A bank that originates 100 home purchase loans per year in a metropolitan area

B) A credit union that originated 30 closed-end mortgages in each of the two preceding years

C) A mortgage company that originated 30 home purchase loans in the preceding year only

D) A savings association that originated 100 home improvement loans secured by dwellings

[Federal Laws — HMDA]

54. All of the following types of loans are exempt from HMDA reporting EXCEPT:

A) Loans to purchase farmland with no dwelling

B) Business purpose loans

C) Home purchase loans for borrowers who intend to rent the property

D) Loans for the purchase of a 50-unit apartment building

[Federal Laws — HMDA]

55. All of the following are part of HMDA's expanded data requirements (post-Dodd-Frank) EXCEPT:

A) Rate spread

B) Total loan costs (points and fees)

C) The borrower's credit score

D) The borrower's Social Security number

[Federal Laws — HMDA]

56. HMDA data collection serves all of the following purposes EXCEPT:

A) Identifying potential discriminatory lending patterns

B) Monitoring community credit needs

C) Setting maximum interest rates for residential mortgage loans

D) Enabling enforcement of fair lending laws

[Federal Laws — Dodd-Frank]

57. All of the following are true about Qualified Mortgages (QMs) EXCEPT:

A) QM loans must have a loan term of 30 years or less
B) QM loans cannot have negative amortization
C) QM loans may have interest-only payment periods
D) QM loans must have points and fees of no more than 3% for loans over $100,000

[Federal Laws — Dodd-Frank]

58. All of the following are requirements for a loan to comply with the Ability-to-Repay rule EXCEPT:

A) The lender must verify the borrower's income using reliable third-party documents
B) The lender must consider the borrower's current monthly debt obligations
C) The borrower must have a credit score of at least 620
D) The lender must use the fully amortized payment to calculate DTI, not an interest-only payment

[Federal Laws — Dodd-Frank]

59. All of the following are UDAAP violations EXCEPT:

A) A lender charging a prepayment penalty not disclosed at origination
B) A servicer misrepresenting the amount owed in a payoff statement
C) A lender charging a standard origination fee that is clearly disclosed on the Loan Estimate
D) A servicer failing to credit payments on the date received

[Federal Laws — Dodd-Frank]

60. All of the following are Dodd-Frank loan originator compensation rules EXCEPT:

A) MLOs may not receive compensation based on loan interest rate
B) MLOs may receive compensation based on loan amount
C) MLOs may receive compensation based on the LTV of the loan
D) MLOs may receive compensation based on production volume

■■ General Mortgage ■■

[General Mortgage — Loan Types]

61. Which of the following is NOT a type of mortgage loan?

A) Fixed-rate mortgage
B) Adjustable-rate mortgage
C) Secured transaction mortgage
D) Balloon payment mortgage

[General Mortgage — FHA/VA/USDA]

62. All of the following are true about FHA loans EXCEPT:

A) FHA loans require an upfront mortgage insurance premium
B) FHA loans have a minimum down payment of 3.5% for borrowers with 580+ credit score
C) FHA loans do not require the property to meet any minimum property standards
D) FHA loans allow higher DTI ratios than conventional loans in many cases

[General Mortgage — ARM Products]

63. All of the following are true about ARM loans EXCEPT:

A) The index is a published financial benchmark
B) The margin is the lender's profit component added to the index
C) The fully indexed rate is the index plus the margin
D) The margin can change periodically throughout the loan term

[General Mortgage — Underwriting/QM]

64. All of the following are true about conventional conforming loans EXCEPT:

A) They must meet Fannie Mae or Freddie Mac guidelines
B) They cannot exceed the conforming loan limit
C) They require FHA insurance for loans with LTV above 80%
D) They typically require PMI for loans with LTV above 80%

[General Mortgage — Mortgage Math]

65. If a borrower takes a $200,000 loan at 5% annual interest with monthly payments, what is the approximate monthly interest for the second month's payment, assuming the first month reduced principal by $200?

A) $1,000.00
B) $916.67
C) $999.17
D) $833.33

[General Mortgage — Loan Types]

66. A 'wraparound mortgage' is BEST described as:

A) A second mortgage that 'wraps around' the existing first mortgage, with the new lender making payments on the first
B) A first mortgage that includes both purchase and renovation costs
C) A loan that wraps around all of the borrower's existing debts
D) A bridge loan that wraps around two properties

[General Mortgage — FHA/VA/USDA]

67. All of the following are true about VA loans EXCEPT:

A) VA loans require a funding fee (with exceptions for disabled veterans)
B) VA loans are available to eligible surviving spouses of veterans
C) VA loans may be used to purchase multi-unit properties (up to 4 units) if the veteran occupies one unit
D) VA loans may be used to purchase vacation homes

[General Mortgage — ARM Products]

68. All of the following are true about the ARM Adjustment Period EXCEPT:

A) The adjustment period is the time between rate changes
B) A 1-year adjustment period means the rate adjusts annually
C) A shorter adjustment period means more frequent rate changes
D) Shorter adjustment periods always result in lower initial rates than longer adjustment periods

[General Mortgage — Underwriting/QM]

69. All of the following are legitimate compensating factors for a higher DTI ratio EXCEPT:

A) Large cash reserves (12+ months PITI)
B) High credit score (760+)
C) A co-borrower who is a family member
D) Significant down payment (20%+)

[General Mortgage — Mortgage Math]

70. A borrower puts 5% down on a $400,000 property. The conventional PMI rate is 0.85% annually. What is the approximate monthly PMI premium?

A) $141.67
B) $283.33
C) $170.00
D) $113.33

[General Mortgage — Loan Types]

71. A 'construction-to-permanent' loan is BEST described as:

A) A loan that converts from commercial to residential after construction is complete

B) A loan that finances construction and then automatically converts to a permanent mortgage at completion

C) A bridge loan used until permanent financing is arranged

D) A loan that requires construction to begin within 6 months of closing

[General Mortgage — FHA/VA/USDA]

72. All of the following statements about USDA loans are true EXCEPT:

A) USDA loans require the property to be in a USDA-eligible rural area

B) USDA loans offer 100% financing with no down payment

C) USDA loans are available to any income level

D) USDA loans require mortgage guarantee fees similar to FHA's MIP

[General Mortgage — ARM Products]

73. All of the following are true about the ARM fully indexed rate EXCEPT:

A) It equals the index plus the margin

B) It represents the rate the loan would have if it reset today

C) It is used to calculate the disclosed APR on an ARM Loan Estimate

D) It is always the same as the teaser rate at origination

[General Mortgage — Underwriting/QM]

74. All of the following are true about Non-QM loans EXCEPT:

A) Non-QM loans are illegal under Dodd-Frank

B) Non-QM loans expose lenders to greater ATR litigation risk

C) Non-QM loans may have features like interest-only periods not permitted in QM

D) Non-QM loans may be appropriate for borrowers with unique income documentation

[General Mortgage — Mortgage Math]

75. A borrower's monthly PITI payment is $2,100 and their gross monthly income is $7,000. What is their front-end DTI ratio?

A) 25%

B) 30%

C) 35%

D) 40%

[General Mortgage — Loan Types]

76. A 'graduated payment mortgage' (GPM) is characterized by:

A) Interest payments only for the first 5 years

B) Payments that start low and increase over time on a predetermined schedule

C) Monthly payments that vary based on an index

D) A fixed rate that graduates to an adjustable rate after 5 years

[General Mortgage — FHA/VA/USDA]

77. All of the following are true about VA appraisals EXCEPT:

A) VA appraisals are performed by VA-approved appraisers

B) The VA appraisal establishes the Certificate of Reasonable Value (CRV)

C) If the property appraises below the purchase price, the veteran must make up the difference with cash

D) The VA appraisal also assesses minimum property requirements

[General Mortgage — ARM Products]

78. All of the following are true about ARM disclosure requirements EXCEPT:

A) Lenders must provide the CHARM booklet to ARM applicants
B) The disclosed APR must be based on the fully indexed rate
C) ARM disclosures must show example payment scenarios based on historical index changes
D) ARM disclosures are not required until closing

[General Mortgage — Underwriting/QM]

79. All of the following income types may be used for mortgage qualifying EXCEPT:

A) Commission income with a 2-year history
B) Rental income from investment properties (at 75% of gross)
C) Anticipated future income from a new business not yet started
D) Part-time employment income with a 2-year history

[General Mortgage — Mortgage Math]

80. A borrower has $15,000 in a checking account, $25,000 in a savings account, $50,000 in a 401(k), and $5,000 in a gift from their parents. Total liquid assets for down payment and reserves purposes (assuming 70% retirement account factor and the gift is documented) are MOST NEARLY:

A) $70,000
B) $80,000
C) $95,000
D) $80,000

■■ Loan Origination ■■

[Loan Origination — Application/1003]

81. All of the following information is collected on the URLA (Form 1003) EXCEPT:

A) Employment history for the past 2 years
B) Monthly income from all sources
C) The borrower's full credit report
D) Assets and liabilities

[Loan Origination — Income/DTI]

82. All of the following income types require a 2-year history to be used for qualifying EXCEPT:

A) Commission income
B) Bonus income
C) Overtime income
D) Base salary from a W-2 employer with a current pay stub

[Loan Origination — Credit Analysis]

83. All of the following are true about the tri-merge credit report used in mortgage lending EXCEPT:

A) It pulls credit data from all three major bureaus simultaneously
B) The qualifying score is the middle of the three bureau scores for a single borrower
C) For two borrowers, the qualifying score is the higher of the two middle scores
D) Collections and judgments appear on the tri-merge report

[Loan Origination — Disclosures]

84. All of the following disclosures must be provided within 3 business days of a complete mortgage application EXCEPT:

A) Loan Estimate
B) Notice of Right to Receive a Copy of the Appraisal
C) RESPA Special Information Booklet (for purchase loans)
D) Closing Disclosure

[Loan Origination — Processing/Closing]

85. All of the following are typically required as conditions before a loan funds EXCEPT:

A) A clear title search with lender's title insurance commitment
B) An appraisal meeting the lender's minimum value requirement
C) The borrower's 30-year employment history documentation
D) Hazard insurance with the lender named as mortgagee

[Loan Origination — Income/DTI]

86. All of the following are true about qualifying income from rental properties EXCEPT:

A) A vacancy factor of 25% is typically applied to gross rental income
B) Rental income from a property on the subject property (e.g., accessory unit) may be used
C) Rental income requires a 12-month history of receipt on the tax returns
D) Rental income can be used from properties owned for as little as 1 month if documented by a lease

[Loan Origination — Credit Analysis]

87. All of the following derogatory credit events have standard waiting periods before conventional loan eligibility EXCEPT:

A) Chapter 7 bankruptcy (7 years from discharge)
B) Foreclosure (7 years from completion date)
C) Short sale (4 years from completion date)
D) Medical collections (no waiting period for collections under $2,000 under current guidelines)

[Loan Origination — Application/1003]

88. All of the following declarations on the URLA require disclosure EXCEPT:

A) Whether the borrower has had a previous foreclosure within the past 7 years
B) Whether the borrower has any outstanding judgments
C) Whether the borrower plans to occupy the property as a primary residence
D) The borrower's prior bankruptcy history for the past 10 years

[Loan Origination — Processing/Closing]

89. All of the following are roles of the escrow/closing agent EXCEPT:

A) Holding funds in trust during the transaction
B) Preparing and distributing the Closing Disclosure to all parties
C) Coordinating document signing
D) Making credit decisions regarding the loan

[Loan Origination — Income/DTI]

90. All of the following are true about using Social Security income for qualifying EXCEPT:

A) Social Security income does not have an expiration date if the borrower is retired
B) The SSA award letter or benefit verification letter is the primary documentation
C) Social Security income may be grossed up by 25% since it is not taxed for most borrowers
D) Social Security income requires a 2-year history to be used for qualifying

[Loan Origination — Credit Analysis]

91. All of the following are true about credit scores in mortgage underwriting EXCEPT:

A) The middle of the three bureau scores is used as the representative score
B) For joint applications, the lower of the two borrowers' middle scores is used
C) A higher credit score generally results in better loan pricing
D) A credit score below 620 makes a borrower permanently ineligible for any mortgage

[Loan Origination — Disclosures]

92. All of the following must be included in the TRID Loan Estimate EXCEPT:

A) Projected monthly payments including estimated escrow
B) Closing costs broken down by tolerance category
C) The borrower's credit score and the factors that affected it
D) Contact information for the loan officer and lender

[Loan Origination — Processing/Closing]

93. All of the following are true about the Closing Disclosure EXCEPT:

A) The CD replaced both the HUD-1 and TILA TIL Statement for TRID loans
B) The CD must be provided at least 3 business days before consummation
C) The borrower must receive the CD even if the loan is denied before closing
D) The lender is ultimately responsible for the accuracy of the CD

[Loan Origination — Income/DTI]

94. All of the following are true about using child support income for qualifying EXCEPT:

A) Child support must have been received for at least 6 months before application
B) Child support must be expected to continue for at least 3 years
C) Child support must be documented with the court order or separation agreement
D) Child support income does not require any history — only a current court order is sufficient

[Loan Origination — Application/1003]

95. The URLA (Form 1003) was revised in what year to capture expanded HMDA data requirements?

A) 2003
B) 2008
C) 2018
D) 2021

[Loan Origination — Credit Analysis]

96. All of the following are true about how medical debt affects mortgage qualification EXCEPT:

A) Medical collections may be excluded from consideration for FHA loans
B) Medical collections do not require a payment plan to be included in DTI for FHA loans
C) Conventional guidelines treat medical collections identically to other collection accounts
D) VA guidelines are generally more lenient regarding medical collections than conventional guidelines

[Loan Origination — Processing/Closing]

97. All of the following are true about title insurance EXCEPT:

A) Owner's title insurance protects the buyer's ownership interest
B) Lender's title insurance protects the lender's lien position
C) Title insurance is a one-time premium paid at closing
D) Both owner's and lender's title insurance are required for all mortgage loans

[Loan Origination — Income/DTI]

98. All of the following are true about income from tips EXCEPT:

A) Tip income must be reported to the IRS by the employee
B) A 2-year history of tip income is generally required for qualifying
C) Only the tips shown on the W-2 (reported tips) may be used for qualifying
D) Tip income can be used regardless of the borrower's reported tip history

[Loan Origination — Processing/Closing]

99. All of the following are reasons a loan might not fund at closing EXCEPT:

A) A last-minute title search reveals an unresolved lien
B) The borrower's employment is verified as terminated on the closing date
C) The appraisal is more than 4 months old and expired
D) The borrower's credit score improved since application

[Loan Origination — Disclosures]

100. All of the following are true about the ARM Disclosure Booklet (CHARM booklet) EXCEPT:

A) It must be provided within 3 business days of an ARM application
B) It explains how adjustable rate mortgages work generally
C) It is specific to the borrower's individual ARM loan terms
D) It is produced by the CFPB and must meet CFPB standards

■■ Ethics ■■

[Ethics — UDAAP]

101. All of the following are examples of 'unfair' acts under UDAAP EXCEPT:

A) A fee that cannot be reasonably avoided by consumers
B) A practice that causes substantial harm to consumers
C) A practice that benefits consumers by providing useful services for a reasonable fee
D) A fee that is not offset by any benefit to consumers

[Ethics — Fraud]

102. All of the following are examples of mortgage fraud EXCEPT:

A) Straw buyer transactions (using another person's name to obtain financing)
B) Inflating the purchase price to enable the buyer to receive cash back
C) A borrower disclosing to the lender that they plan to rent the property after purchase
D) Air loans — making loans on fictitious properties with fictitious borrowers

[Ethics — Professional Conduct]

103. All of the following are appropriate MLO professional conduct standards EXCEPT:

A) Maintaining records of all client communications for compliance purposes
B) Recommending loan products based on the client's needs and financial situation
C) Accepting referral fees from title companies for sending business to them
D) Disclosing all fees and costs transparently on the Loan Estimate

[Ethics — Predatory Lending]

104. All of the following are characteristics of predatory lending EXCEPT:

A) Excessive fees that strip equity from the borrower
B) Misleading terms that make the loan appear better than it is
C) Competitive market-rate pricing with full disclosure
D) Targeting vulnerable populations who may not understand the loan terms

[Ethics — UDAAP]

105. All of the following are deceptive practices under UDAAP EXCEPT:

A) Advertising a rate that is available only to borrowers with excellent credit without disclosing this restriction
B) Omitting material terms from a loan advertisement
C) Stating that a loan has 'no hidden fees' while charging undisclosed fees
D) Disclosing all loan fees on the Loan Estimate as required by TRID

[Ethics — Fraud]

106. All of the following are common red flags of potential mortgage fraud that an MLO should report EXCEPT:

A) Pay stubs that appear to be created with a different font than the employer typically uses
B) A purchase price significantly above comparable properties without explanation
C) A seller who requires the buyer to use a specific title company
D) A borrower who claims income not reflected anywhere in their tax returns

[Ethics — Professional Conduct]

107. All of the following are true about the MLO's fiduciary obligations to the borrower EXCEPT:

A) MLOs must act in the borrower's best interest in recommending loan products
B) MLOs must maintain confidentiality of the borrower's personal financial information
C) MLOs owe the same fiduciary duty to borrowers as attorneys owe to their clients
D) MLOs must disclose potential conflicts of interest

[Ethics — UDAAP]

108. All of the following acts are 'abusive' under UDAAP EXCEPT:

A) Taking unreasonable advantage of a borrower's lack of understanding of a loan product
B) Exploiting a borrower's reasonable reliance on the MLO's expertise
C) Charging a higher rate to borrowers with lower credit scores (risk-based pricing)
D) Materially interfering with the borrower's ability to understand a financial product

[Ethics — Fraud]

109. All of the following types of fraud involve misrepresentation of property information EXCEPT:

A) Appraisal fraud (inflating property value)
B) Property flipping fraud (rapid resale at inflated prices)
C) Income fraud (inflating borrower income on the application)
D) Straw borrower fraud (using another person's name to obtain the loan)

[Ethics — Predatory Lending]

110. All of the following are true about predatory lending identification EXCEPT:

A) High-pressure sales tactics to close a loan quickly are a predatory warning sign
B) Loan terms that change significantly between application and closing are a warning sign
C) Recommending a fixed-rate loan when an ARM would better suit the borrower's short-term needs is predatory
D) Excessive fees that represent a disproportionate share of the loan amount are a warning sign

[Ethics — Professional Conduct]

111. All of the following are permissible MLO marketing practices EXCEPT:

A) Advertising services on social media
B) Sending mailers to past clients about refinance opportunities
C) Paying real estate agents $100 per referral for every completed loan application
D) Advertising with NMLS ID displayed prominently

[Ethics — UDAAP]

112. All of the following are true about UDAAP enforcement by the CFPB EXCEPT:

A) The CFPB can take enforcement action for UDAAP violations without a specific statutory violation
B) UDAAP violations can result in civil money penalties
C) The CFPB may require restitution to harmed consumers
D) Only acts that are both unfair AND deceptive AND abusive simultaneously violate UDAAP

■■ SAFE Act ■■

[SAFE Act — Licensing]

113. All of the following activities require SAFE Act MLO licensure EXCEPT:

A) Taking a residential mortgage loan application
B) Offering residential mortgage loan terms
C) Negotiating residential mortgage loan terms
D) Performing clerical functions in the loan processing department without customer contact

[SAFE Act — NMLS/Registration]

114. All of the following are true about the NMLS EXCEPT:

A) NMLS stands for Nationwide Multistate Licensing System
B) The NMLS is operated by state financial regulators through the Conference of State Bank Supervisors (CSBS)
C) The NMLS approves or denies MLO license applications on behalf of the states
D) The NMLS maintains records of MLO license history, employment, and disciplinary actions

[SAFE Act — CE/Pre-License]

115. All of the following are true about SAFE Act continuing education EXCEPT:

A) MLOs must complete 8 hours of CE per year
B) An MLO cannot receive credit for taking the same CE course two years in a row
C) CE completion must be reported to NMLS
D) CE must be completed by the MLO's birthday each year

[SAFE Act — Licensing]

116. All of the following are true about the distinction between licensed and registered MLOs EXCEPT:

A) Bank employees who originate mortgages are registered, not licensed
B) The CFPB maintains the Federal Registry for registered MLOs
C) Registered MLOs are subject to the same 20-hour pre-licensure education requirement as licensed MLOs
D) Licensed MLOs must renew their license annually through the NMLS

[SAFE Act — CE/Pre-License]

117. All of the following are true about SAFE Act pre-licensure education EXCEPT:

A) 20 hours of PE are required before taking the national exam
B) The PE must include 3 hours of federal law
C) The PE must include 3 hours of ethics
D) PE courses may be completed online without any in-person requirement

[SAFE Act — NMLS/Registration]

118. All of the following are true about NMLS Consumer Access EXCEPT:

A) It allows consumers to verify an MLO's current license status
B) It shows the MLO's employment history at different companies
C) It displays any disciplinary actions or license revocations
D) It allows consumers to submit mortgage loan applications directly through NMLS

[SAFE Act — Licensing]

119. All of the following criminal records are permanent bars to MLO licensing under the SAFE Act EXCEPT:

A) Felony conviction for mortgage fraud
B) Felony conviction for money laundering
C) Felony conviction for breach of trust
D) Felony conviction for tax evasion occurring 10 years ago

[SAFE Act — NMLS/Registration]

120. All of the following are true about the SAFE Act's purpose EXCEPT:

A) It was enacted to enhance consumer protection in the residential mortgage market
B) It creates uniform licensing standards across all states
C) It completely eliminates variation in state MLO licensing requirements
D) It requires a nationwide licensing and registration database (NMLS)

EXAM Phase 1 — Exam 3 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	C	2	D	3	A	4	B	5	C
6	D	7	A	8	B	9	C	10	D
11	A	12	B	13	C	14	D	15	A
16	B	17	C	18	D	19	A	20	B
21	A	22	B	23	C	24	D	25	A
26	B	27	C	28	D	29	A	30	B
31	C	32	D	33	A	34	B	35	C
36	D	37	A	38	B	39	C	40	D
41	A	42	B	43	C	44	D	45	A
46	B	47	C	48	D	49	A	50	B
51	A	52	B	53	C	54	D	55	A
56	B	57	C	58	D	59	A	60	B
61	C	62	D	63	A	64	B	65	C
66	D	67	A	68	B	69	C	70	D
71	A	72	B	73	C	74	D	75	A
76	B	77	C	78	D	79	A	80	B
81	A	82	B	83	C	84	D	85	A
86	B	87	C	88	D	89	A	90	B
91	C	92	D	93	A	94	B	95	C
96	D	97	A	98	B	99	C	100	D
101	A	102	B	103	C	104	D	105	A
106	B	107	C	108	D	109	A	110	B
111	C	112	D	113	A	114	B	115	C
116	D	117	A	118	B	119	C	120	D

1. All of the following are required elements of a 'complete application' that triggers the Loan Estimate EXCEPT:

✓ C) Property address

The six elements required for a complete TRID application are: name, SSN, income, property address, estimated property value, and loan amount. Employer name and contact information, while collected on the 1003, are NOT one of the six required elements that constitute a 'complete application' triggering the LE delivery requirement. Many candidates add employer, credit score, or down payment — none of these are part of the six-element trigger list.

2. All of the following are in the ZERO tolerance category under TRID EXCEPT:

✓ D) Third-party services where the lender selects the provider

Third-party services selected by the borrower from the lender's written list of providers fall in the 10% AGGREGATE tolerance category — NOT zero tolerance. Zero tolerance applies to: lender origination charges, transfer taxes, and third-party services where the LENDER selects the provider. If the borrower chooses a provider from the lender's list, the 10% aggregate bucket applies. If the lender requires a specific provider, it becomes zero tolerance. The key distinction is WHO selects the provider.

3. All of the following constitute valid 'changed circumstances' that permit a revised Loan Estimate EXCEPT:

✓ A) A natural disaster making the property uninhabitable

A lender's own error in calculating fees is explicitly NOT a changed circumstance under TRID — it is the lender's responsibility to provide accurate estimates. If the lender underestimates title insurance due to an internal error, they must cure the tolerance violation at closing without passing the cost to the borrower. Valid changed circumstances include: acts of God (Option A), new information about borrower/property (Option B), borrower-requested changes (Option D), rate lock, and LE expiration.

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4. All of the following are true about the Closing Disclosure EXCEPT:

✓ B) Saturday counts as a business day for the CD waiting period

The CD 3-business-day waiting period CAN be waived if the borrower has a bona fide personal financial emergency. The waiver must be in writing, signed by all borrowers, and describe the specific emergency. The CFPB has stated that waivers should be rare. Options A, B, and C are all true statements about the CD. The absolute statement 'may never be waived under any circumstances' is false — bona fide personal financial emergencies allow waiver.

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5. All of the following fees are in the 10% aggregate tolerance bucket EXCEPT:

✓ C) Pest inspection fees (required by lender, provider selected by borrower from list)

Transfer taxes fall in the ZERO tolerance category, not the 10% aggregate bucket. Recording fees and third-party services selected by the borrower from the lender's written list (or required by lender with borrower-selected provider from the list) are in the 10% aggregate tolerance category. The transfer tax zero-tolerance rule is frequently confused with the 10% category. Remember: transfer taxes = zero tolerance, always.

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6. All of the following statements about the LE mailing rule are true EXCEPT:

✓ D) Saturday does NOT count as a business day for the mailing presumption

Saturday DOES count as a business day for purposes of the LE delivery rule and the 7-business-day waiting period. For the mailing deemed-receipt presumption, Saturday counts in the 3-day count. Saturday only doesn't count for the LE 3-business-day delivery rule in some interpretations, but for the mailing presumption itself, Saturday counts. Option D incorrectly states Saturday does not count — Saturday does count for the mailing presumption business day calculation.

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7. All of the following are true about the TRID 'Intent to Proceed' EXCEPT:

✓ A) It is the borrower's indication they want to move forward with the application

Intent to Proceed does NOT need to be in writing — it can be oral or through other actions. The CFPB has not required written Intent to Proceed. Many lenders use written confirmation for documentation purposes, but it is not a regulatory requirement. Options A, C, and D are all true. The most common misconception is that Intent to Proceed must be signed — it must only be communicated by the borrower in any manner.

---

8. Which of the following is NOT a valid reason for the lender to issue a revised Loan Estimate under TRID?

✓ B) The original LE expires after 10 business days without Intent to Proceed

A lender's own increased processing costs due to market conditions is not a changed circumstance under TRID — lender cost increases are the lender's risk to absorb. Valid changed circumstances include: rate locks (Option A), LE expiration (Option B), and new property information such as flood zone requirements (Option D). General market cost increases that affect the lender's own fees are not externally driven events that qualify as changed circumstances.

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9. All of the following are true about TRID's no-tolerance (no-limit) items EXCEPT:

✓ C) Property taxes

Title search fees where the borrower chooses from the lender's list are in the 10% aggregate tolerance category — NOT the no-tolerance (no-limit) category. No-tolerance items include: prepaid interest, prepaid homeowner's insurance, initial escrow payments (property taxes, insurance). These items can change without restriction between LE and CD because they are inherently variable and not controlled by the lender. Title search fees, even when borrower-selected, have a 10% cap.

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10. All of the following are true about TRID's application to specific loan types EXCEPT:

✓ D) TRID applies to purchase loans, refinances, and construction loans

TRID does NOT apply to HELOCs (home equity lines of credit). HELOCs are open-end credit and are governed by separate TILA/Reg Z disclosure rules. TRID covers: purchase money mortgages, refinances (including cash-out), construction loans, and certain other closed-end consumer loans secured by real property. TRID does not apply to HELOCs, reverse mortgages (which have their own TILA disclosures), or business-purpose loans.

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11. All of the following are RESPA Section 8 violations EXCEPT:

✓ A) A title company paying a real estate agent $200 per referral

Two affiliated companies cross-referring business WITH proper AfBA disclosure, where the consumer is free to use other providers and the only return is on ownership interest, is a permissible affiliated business arrangement — NOT a RESPA Section 8 violation. The key word is 'proper AfBA disclosure.' Options A (per-referral cash payment), B (lavish entertainment for referrals), and C (gift card per referral) are all Section 8 violations. The AfBA safe harbor with proper disclosure is the permissible exception.

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12. Which of the following is NOT covered by RESPA?

✓ B) A refinance loan on an owner-occupied duplex

Commercial mortgage loans — including loans on apartment buildings with more than 4 units — are generally not covered by RESPA. RESPA covers federally related mortgage loans on 1-4 family residential properties. A 6-unit apartment building is not 1-4 family residential — it's commercial/multifamily. Construction-to-permanent loans on single-family homes ARE covered by RESPA if they meet other criteria. The 1-4 family dwelling requirement is the key coverage threshold.

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13. All of the following are true about RESPA's escrow account requirements EXCEPT:

✓ C) The servicer must conduct an annual escrow analysis

RESPA allows shortages to be collected over time — specifically over 12 months — rather than requiring immediate lump-sum repayment. Options A (2-month maximum cushion), B ($50 surplus threshold), and C (annual analysis) are all true RESPA requirements. Option D is false — shortages CAN be collected over the subsequent 12 months. The 12-month repayment option for shortages is a consumer protection that prevents sudden large escrow demands.

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14. Which of the following is NOT a requirement for a permissible Affiliated Business Arrangement under RESPA?

✓ D) The affiliated company must be jointly owned at a minimum 51% threshold

There is no specific minimum ownership percentage required for an AfBA under RESPA — any ownership interest qualifies. The three requirements are: (1) disclosure at or before referral, (2) consumer freedom to choose other providers, and (3) only return on ownership interest (no per-referral fees). A 51% minimum ownership threshold does not exist as an AfBA requirement. Disclosure, consumer choice, and the no-per-referral-fee rule are the three conditions.

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15. All of the following statements about Qualified Written Requests (QWRs) are true EXCEPT:

✓ A) A QWR must be in writing

A QWR relates specifically to the SERVICING of the loan — the ongoing payment application, escrow management, and account maintenance. A QWR cannot be used to dispute the terms of the original loan (interest rate, loan amount, origination fees) — those are origination disputes, not servicing disputes. Options A, B, and C are true RESPA QWR requirements. The restriction of QWRs to servicing matters is a frequently tested limitation.

---

16. All of the following settlement service providers are covered by RESPA Section 8 EXCEPT:

✓ B) Mortgage lenders

Moving companies are NOT settlement service providers covered by RESPA. RESPA Section 8 covers kickbacks related to settlement services, which include: title insurance, mortgage lending, title search, title examination, provision of title certificates, title insurance, attorney services, preparation of documents, credit reporting, appraisals, pest inspections, surveys, home inspections, flood zone determinations, and hazard insurance. Moving companies are not among the covered settlement services.

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17. Which of the following transactions is EXEMPT from RESPA coverage?

✓ C) A bridge loan with a term of 6 months

Bridge loans with terms of less than 12 months are exempt from RESPA. A 6-month bridge loan falls below the 12-month threshold and is not covered. VA and FHA loans on 1-4 family properties are covered by RESPA. Conventional conforming loans on condominiums are covered. The bridge loan exemption is one of the few explicit RESPA exemptions along with: business purpose, temporary financing, vacant land, and loans over 25 acres (agricultural).

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18. All of the following are true about RESPA's Good Faith Estimate (GFE) EXCEPT:

✓ D) The GFE applies to all new residential mortgage applications after October 3, 2015

The GFE does NOT apply to new residential mortgage applications after October 3, 2015 — it was replaced by the Loan Estimate under TRID for most residential mortgages. However, the GFE still applies to reverse mortgage (HECM) applications because reverse mortgages are exempt from TRID. Options A, B, and C are true about the GFE. Option D falsely states the GFE applies to new applications after October 3, 2015, when it was actually replaced by the LE.

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19. A real estate agent who refers clients to a mortgage company receives no compensation from the mortgage company. However, the mortgage company always refers its clients back to that agent's brokerage for buyer agent services. Under RESPA Section 8:

✓ A) This is a permissible reciprocal referral arrangement

RESPA Section 8 prohibits any 'thing of value' given in exchange for referrals — and referral business itself has economic value. Even without direct cash exchange, a reciprocal referral arrangement where each party's referrals generate business for the other constitutes an exchange of things of value (business referrals). The absence of direct cash does not sanitize a referral exchange agreement. RESPA's broad 'thing of value' definition captures non-cash exchanges of value.

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20. Which of the following is NOT required to be on the RESPA Section 5 'Special Information Booklet' that lenders must provide to purchase loan applicants?

✓ B) Explanation of the Loan Estimate

The RESPA Special Information Booklet ('Settlement Costs and You') is a general consumer education document about the settlement process — it is not loan-specific and does not include a borrower's specific amortization schedule. It covers: the settlement process, the LE, title insurance, and general consumer rights. Loan-specific information (like an amortization schedule) comes from TILA disclosures and the LE/CD, not the RESPA booklet. The booklet must be provided within 3 business days of a purchase loan application.

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21. The TILA right of rescission applies to all of the following EXCEPT:

✓ A) A refinance of a primary residence with a new lender

Purchase money mortgages are explicitly exempt from TILA's right of rescission, even when the property is the borrower's primary residence. The rescission right protects borrowers who are placing an EXISTING home at risk — not when they are acquiring the property. Refinances (Option A), HELOCs (Option B), and second mortgages (Option C) on primary residences all carry the right of rescission. The purchase money exception is one of the most frequently tested TILA concepts.

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22. All of the following are correct regarding TILA's right of rescission business day count EXCEPT:

✓ B) Sunday does NOT count as a business day for rescission purposes

The 3-day rescission period begins the day AFTER consummation — not on the day of consummation itself. Consummation Day does not count as Day 1. Days A, B, and C are all correctly stated: Saturday counts, Sunday does not, federal holidays do not. The most common calculation error on the exam is starting the count on the day of closing rather than the following day. Option D is the false statement.

---

23. All of the following loans require TILA disclosures EXCEPT:

✓ C) A credit card account

Business-purpose loans are exempt from TILA's consumer credit disclosure requirements, even when secured by the borrower's primary residence. The determining factor is the PRIMARY PURPOSE of the loan — if the proceeds will be used for business purposes, TILA does not apply as a consumer protection statute. Residential mortgages, HELOCs, and credit cards (consumer credit) all require TILA disclosures. The business purpose exemption is based on how funds will be used, not what collateral is pledged.

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24. TILA's APR tolerance allows which of the following EXCEPT:

✓ D) A 1/4% overstatement on a balloon payment loan

TILA's APR tolerance permits UNDERSTATEMENT of the APR only — the tolerance does not permit overstatement of the APR by 1/8% or 1/4%. If the disclosed APR is higher than the actual APR, TILA is not violated (the consumer is given a more conservative disclosure). If the disclosed APR is lower (understated), it must be within 1/8% for regular loans or 1/4% for irregular loans. Option C (overstatement on any loan) is not a concern under TILA; Option A and D (understatements within tolerance) are permissible.

---

25. All of the following are trigger terms in TILA mortgage advertising EXCEPT:

✓ A) A specific monthly payment amount

The Annual Percentage Rate (APR) is NOT a trigger term — it is what must be DISCLOSED when a trigger term is mentioned. TILA trigger terms are: specific dollar amount of any payment, specific finance charge, specific down payment amount, specific number of payments, specific period of repayment, or specific payment schedule. Mentioning ANY trigger term requires full disclosure of ALL required terms (APR, loan term, payment schedule). The APR itself is the required disclosure, not a trigger.

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26. All of the following are true about TILA's Finance Charge EXCEPT:

✓ B) Lender origination fees are included in the Finance Charge

Hazard (homeowner's) insurance premiums are NOT included in the Finance Charge if the borrower can choose their own insurer — which is the standard situation. Insurance costs are only included in the Finance Charge if the lender requires a specific insurer. Because borrowers typically choose their own insurer, hazard insurance is excluded. Options A (dollar cost), B (origination fees), and D (APR derived from Finance Charge) are all true TILA statements about the Finance Charge.

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27. All of the following consumers have the right to rescind under TILA EXCEPT:

✓ C) A borrower who takes out a second mortgage on their primary residence

A borrower PURCHASING their primary residence with an FHA loan does NOT have a right of rescission — purchase money mortgages are explicitly exempt regardless of the loan type (FHA, VA, conventional). Options A (same-lender refinance), B (HELOC), and C (second mortgage) all involve placing an existing home at risk, triggering rescission rights. The FHA purchase transaction in Option D is the exception — the purchase money exemption overrides everything else about the property being a primary residence.

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28. Under TILA, all of the following must be included in the Finance Charge EXCEPT:

✓ D) Mortgage broker fees

Appraisal fees, even when required by the lender, are NOT included in the Finance Charge under TILA. Appraisal fees are a 'bona fide and reasonable' third-party fee that is excluded from the Finance Charge by Regulation Z. Loan origination fees (Option A), discount points (Option B), and mortgage broker fees (Option D) ARE all included in the Finance Charge and used to calculate the APR. The appraisal fee exclusion is a common exam question because it seems like a lender-required cost but is specifically excluded.

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29. All of the following are ECOA protected classes EXCEPT:

✓ A) National origin

Familial status (having children under 18) is a Fair Housing Act protected class but NOT an ECOA protected class. ECOA's eight protected bases are: race, color, religion, national origin, sex, marital status, age (if able to contract), and receipt of public assistance income. Test-takers frequently confuse familial status between the FHA (where it is protected) and ECOA (where it is not). This distinction is one of the highest-yield test topics.

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30. All of the following are appropriate specific ECOA adverse action reasons EXCEPT:

✓ B) Excessive obligations in relation to income

'Did not meet our internal credit standards' is NOT a specific enough adverse action reason under ECOA — it is the type of vague, uninformative language the regulation prohibits. ECOA requires specific reasons such as: insufficient income, excessive obligations, derogatory credit history, length of credit history, or insufficient collateral. Options A, B, and C all contain specific, actionable information the applicant can use to understand and address the denial. Generic responses like Option D are ECOA violations.

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31. All of the following are true about ECOA's adverse action notification EXCEPT:

✓ C) Incomplete applications closed for incompleteness require adverse action notices

An incomplete application that is closed for incompleteness DOES require an adverse action notice (or notice of incompleteness) under Regulation B. The lender must notify the applicant that the application is incomplete and what information is needed — this protects applicants from applications being silently abandoned. Options B (counter-offer accepted = not adverse action), C, and D are all true ECOA/Reg B requirements. Option C is false as stated — incompleteness DOES require notification.

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32. Which of the following factors may a lender NOT consider when evaluating a credit application under ECOA?

✓ D) The applicant's current employment status

Under ECOA, a lender may NOT use the fact that income derives from a public assistance program as a basis for denying credit or treating applicants differently. The SOURCE of income (public assistance) is a prohibited basis. Lenders may still evaluate income amounts, stability, and likelihood of continuance — they just cannot discriminate based on the fact that the income source is a government assistance program. Credit scores, DTI, and employment status are all legitimate credit evaluation factors.

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33. All of the following information may be requested by a lender on a credit application EXCEPT:

✓ A) The applicant's income

Inquiring about the number, age, or custody arrangement of an applicant's children is a potential ECOA violation — it is a proxy for sex discrimination and marital/familial status information that could be used to discriminate. A lender may ask about dependents for income calculation purposes but may not ask about the number of children specifically. Income, SSN, and employment history are all legitimate and required credit application items.

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34. All of the following are true about ECOA's appraisal copy requirement EXCEPT:

✓ B) The borrower must receive the appraisal no later than 3 business days before consummation

The borrower may waive the 3-business-day TIMING requirement (receiving the appraisal 3 business days before closing) — this is the waivable right. However, the borrower may NOT waive the right to receive the appraisal copy itself — the copy must be provided in all cases. Options A, B, and D are true. Option C is false — the borrower cannot waive the right to receive the copy entirely. The waivable element is only the timing (3 days before consummation), not the copy itself.

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35. All of the following are examples of disparate treatment discrimination under ECOA EXCEPT:

✓ C) A minimum loan amount policy that results in fewer loans to minority applicants because of smaller loan requests

A minimum loan amount policy that results in fewer loans to minority applicants because minority borrowers tend to request smaller loans is disparate IMPACT discrimination — not disparate TREATMENT. Disparate treatment requires intentional differential treatment based on a protected class. Disparate impact involves facially neutral policies with discriminatory effects. Options A (higher fees), B (more documentation), and D (subprime steering) all involve intentional differential treatment based on protected class — these are disparate treatment violations.

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36. All of the following are true about ECOA notifications EXCEPT:

✓ D) Notification requirements apply to both completed and incomplete applications

ECOA provides applicants with 60 days to request specific denial reasons from the lender — not 90 days. The 30-day adverse action notification must be provided within 30 days of the completed application. When notification includes the right to request specific reasons, applicants have 60 days to make that request. Option B's 90-day counter-offer acceptance window does not exist in ECOA — the 90-day figure is fabricated. The actual ECOA timeframes are 30 days for notification and 60 days for the applicant to request reasons.

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37. An MLO may legally collect which of the following information on a mortgage application WITHOUT potential ECOA concerns?

✓ A) The applicant's religion

National origin is required to be collected for HMDA reporting purposes — with appropriate notices that this information does not affect the credit decision and is used only for HMDA compliance. Collecting national origin for HMDA is legally required. However, religion (prohibited basis), marital status used as a credit risk proxy (misuse of collected data), and childbearing plans (sex discrimination proxy) cannot be collected for credit risk evaluation. HMDA collection of demographic data is an exception to the general prohibition.

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38. All of the following are true about ECOA's coverage EXCEPT:

✓ B) ECOA applies to consumer and business credit

ECOA covers all credit — including business credit — not just consumer credit. Businesses can be victims of credit discrimination based on the protected characteristics of the business owners. ECOA applies to consumer AND business credit. Options A (all aspects of credit transaction), B (consumer and business credit), and D (no minimum loan amount) are all true ECOA statements. Option C is false — ECOA protects businesses too when discrimination against the business owners is the basis of adverse treatment.

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39. All of the following are protected classes under the federal Fair Housing Act EXCEPT:

✓ C) Familial status

Marital status is NOT a federal Fair Housing Act protected class. The seven FHA classes are: race, color, religion, national origin, sex, familial status, and handicap. Marital status is protected under ECOA for credit discrimination purposes, but the FHA does not list marital status as a protected class. Many states and localities have added marital status to their local fair housing laws, creating additional protections beyond the federal FHA.

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40. All of the following are Fair Housing Act violations EXCEPT:

✓ D) An owner of a 2-unit building in which they reside refusing to rent to a couple based on their religion

An owner-occupant of a 1-4 unit residential building (the 'Mrs. Murphy exemption') is exempt from the Fair Housing Act's prohibitions on discrimination in rental housing — they may rent or refuse to rent to anyone for any reason (with some restrictions). An owner of a 2-unit building where they live falls under this exemption. However, this exemption does NOT apply to discriminatory advertising. Options A, B, and C are all FHA violations. Option D may qualify for the Mrs. Murphy exemption.

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41. All of the following statements about the Fair Housing Act's 'handicap' (disability) protections are true EXCEPT:

✓ A) Lenders may not refuse credit based solely on an applicant's disability

The Fair Housing Act's definition of handicap EXCLUDES current illegal drug use. While the FHA protects individuals with past drug addiction (as a disability), current users of illegal substances are not protected. The FHA defines handicap as: (1) physical or mental impairment that substantially limits one or more major life activities, (2) a record of such impairment, or (3) being regarded as having such impairment. Option C is false — current illegal drug use is specifically excluded from FHA's handicap definition.

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42. All of the following are examples of illegal steering EXCEPT:

✓ B) An MLO referring Black applicants only to high-cost loan products

Recommending a specific title company based on service quality, regardless of neighborhood demographics, is NOT steering — it is a legitimate business referral (though subject to RESPA AfBA rules if there is an ownership interest). Steering involves directing people based on protected characteristics, not based on service quality. Options A (showing minority buyers only minority-area properties), B (directing Black applicants to high-cost products), and D (race-based discouragement) are all forms of illegal steering.

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43. All of the following are true about the Fair Housing Act's exemptions EXCEPT:

✓ C) Senior housing communities can legally restrict occupancy to persons 55+ if they meet HUD criteria

No Fair Housing Act exemption permits discrimination based on race — race is NEVER an exempted protected class. The Mrs. Murphy exemption, religious organization exemption, and senior housing exemption are all real exemptions, but NONE of them permit racial discrimination. Race, color, and national origin have no exemptions under the FHA. Options A, B, and C describe real (limited) FHA exemptions. Option D is absolutely false — race discrimination is prohibited even in otherwise exempt properties.

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44. Which of the following is NOT a prohibited practice under the Fair Housing Act?

✓ D) Charging market-rate rent to a tenant who is a racial minority

Charging market-rate rent to a tenant who is a racial minority is not a fair housing violation — it is equal treatment at market rates. Discrimination would require charging MORE or offering WORSE terms based on race. Redlining (geographic denial based on race), blockbusting (inducing panic sales using race), and steering (directing buyers based on race) are all prohibited FHA practices. Charging any qualified tenant the same market rate regardless of protected class status is exactly what the FHA requires.

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45. All of the following are prohibited on a HOEPA high-cost loan EXCEPT:

✓ A) Balloon payment maturing in 3 years

A fixed interest rate is entirely permissible on a HOEPA high-cost loan — the high-cost designation restricts predatory loan features, not the interest rate structure. Balloon payments maturing in less than 5 years, negative amortization, and prepayment penalties (at any time) are all prohibited on HOEPA high-cost loans. A fixed rate with no prohibited features is permissible — the HOEPA label simply adds disclosure and counseling requirements, not a prohibition on standard rate structures.

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46. Which of the following is NOT a HOEPA high-cost loan trigger?

✓ B) Points and fees exceeding 5% on a loan of $25,000

A prepayment penalty period exceeding 3 years is NOT a HOEPA high-cost trigger — rather, HOEPA prohibits prepayment penalties on high-cost loans entirely regardless of the period. The three HOEPA triggers are: (1) APR triggers (APOR + 6.5% for first lien, APOR + 8.5% for subordinate lien), (2) points-and-fees triggers (5% for loans ≥$20,000), and (3) prepayment penalty trigger (penalty applying after 36 months or in excess of 2% is a trigger). Option D describes a QM prepayment penalty prohibition, not a HOEPA trigger.

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47. All of the following are true about HOEPA's counseling requirement EXCEPT:

✓ C) The lender's in-house counselor may provide the required counseling

The lender's in-house counselor may NOT provide the required HOEPA counseling — the counselor must be HUD-approved and independent from the lender. The independence requirement is essential to the protective purpose of the counseling. An in-house counselor is not independent and cannot certify that the borrower received unbiased counseling about the risks of the high-cost loan. Options A (HUD-approved), B (before the loan is made), and D (borrower certification) are all true HOEPA requirements.

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48. Which of the following is NOT a HOEPA-prohibited practice?

✓ D) Mandatory arbitration clauses in high-cost loan agreements

Offering a high-cost loan with a fixed 30-year amortization is NOT prohibited — standard amortization is a conventional loan feature that HOEPA does not ban. HOEPA prohibits: loan flipping, equity stripping, mandatory arbitration, negative amortization, balloon payments (under 5 years), and prepayment penalties. A fixed 30-year loan is a responsible loan structure that HOEPA's high-cost designation does not eliminate. The HOEPA designation adds requirements and prohibitions on predatory features, not on standard amortization.

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49. All of the following are true about HOEPA's points-and-fees calculation EXCEPT:

✓ A) Loan origination fees are included in points and fees

Title insurance premiums paid to unaffiliated title companies are NOT included in HOEPA's points-and-fees calculation. Only fees paid to affiliated title companies (or certain other specific fee types) are included. Loan origination fees, broker fees (yield spread premiums), and most lender charges are included. Bona fide discount points that genuinely reduce the rate (within limits) may be excluded. Title insurance to unaffiliated companies is among the fees explicitly excluded from the HOEPA points-and-fees test.

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50. All of the following statements about HOEPA's coverage are true EXCEPT:

✓ B) HOEPA covers refinances that meet the high-cost triggers

HOEPA covers closed-end consumer mortgage loans and open-end credit secured by the consumer's principal dwelling — it does NOT cover credit card debt. HOEPA covers: purchase money mortgages, refinances, closed-end home equity loans, and HELOCs — all secured by the consumer's principal dwelling and meeting the high-cost triggers. Since the Dodd-Frank Act, HOEPA was expanded to include purchase money mortgages (previously excluded) and HELOCs. Credit cards are consumer credit but not secured by real property and are not HOEPA-covered.

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51. All of the following are reportable under HMDA EXCEPT:

✓ A) A denied application for a home purchase loan

Bridge loans with terms of less than 12 months are exempt from HMDA reporting. A 9-month bridge loan falls below the 12-month threshold and is not reportable. All other options describe reportable HMDA transactions: denied applications (including the denial reasons), withdrawn applications, and home improvement loans secured by dwellings must all be reported. The 12-month bridge loan threshold is one of the few specific HMDA exemptions.

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52. All of the following are true about HMDA's Loan Application Register (LAR) EXCEPT:

✓ B) The LAR is a public document available to anyone who requests it

The HMDA LAR is a public document but does NOT include personally identifiable information such as the applicant's name, SSN, or specific address. HMDA requires demographic data (race, ethnicity, sex), loan characteristics, and property location information — but specifically excludes identifying information to protect applicant privacy. The LAR is submitted annually and made available to the public to enable fair lending monitoring, but the privacy exclusions prevent identification of specific individuals.

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53. All of the following are HMDA-reportable lenders EXCEPT:

✓ C) A mortgage company that originated 30 home purchase loans in the preceding year only

A mortgage company that originated 30 home purchase loans in the PRECEDING YEAR ONLY — not in each of the two preceding years — may not meet HMDA reporting thresholds. HMDA requires meeting volume thresholds in EACH of the two preceding calendar years. If the threshold was met in only one year, HMDA reporting may not be required. Options A, B, and D all suggest consistent volume meeting threshold requirements over multiple years. The 'preceding year only' language in Option C is the key distinction.

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54. All of the following types of loans are exempt from HMDA reporting EXCEPT:

✓ D) Loans for the purchase of a 50-unit apartment building

Home purchase loans for rental properties (1-4 unit residences that the borrower intends to rent) are NOT exempt from HMDA — they are reportable. HMDA covers purchase, refinance, and home improvement loans secured by a dwelling regardless of whether the borrower will occupy it. Farmland loans (no dwelling), business-purpose loans, and commercial multifamily loans (5+ units) may be exempt. The intent to rent the property does not exempt a 1-4 family residential purchase from HMDA reporting.

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55. All of the following are part of HMDA's expanded data requirements (post-Dodd-Frank) EXCEPT:

✓ A) Rate spread

The borrower's Social Security number is NOT collected as HMDA data — HMDA deliberately excludes personally identifiable information to protect privacy. The expanded HMDA data fields added by Dodd-Frank include: rate spread, total loan costs, origination charges, discount points, lender credits, loan term, prepayment penalty term, non-amortizing features, LTV, DTI, combined LTV, application channel, credit score, and age. The SSN is the privacy-protected identifier specifically excluded from HMDA reporting.

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56. HMDA data collection serves all of the following purposes EXCEPT:

✓ B) Monitoring community credit needs

HMDA data is used for monitoring and enforcement — not for setting interest rate maximums. HMDA's purposes are: identifying discriminatory lending patterns (like redlining), assessing whether lenders are meeting community credit needs, enabling public scrutiny, and supporting fair lending enforcement. Interest rate maximums are set by state usury laws, HOEPA triggers, and other specific regulations — not HMDA. HMDA collects and reveals data; it does not set pricing limits.

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57. All of the following are true about Qualified Mortgages (QMs) EXCEPT:

✓ C) QM loans may have interest-only payment periods

QM loans CANNOT have interest-only payment periods — interest-only payments are a prohibited QM feature along with negative amortization, balloon payments (with limited exceptions for small creditors in rural/underserved areas), and loan terms over 30 years. Options A (30-year max term), B (no neg-am), and D (3% points and fees) are all true QM requirements. Option C is false — interest-only periods disqualify a loan from QM status.

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58. All of the following are requirements for a loan to comply with the Ability-to-Repay rule EXCEPT:

✓ D) The lender must use the fully amortized payment to calculate DTI, not an interest-only payment

There is NO minimum credit score requirement under the Ability-to-Repay rule — lenders must consider credit history as one of the eight ATR factors, but the rule does not specify a minimum score. The 620 credit score is a lender overlay or program requirement, not an ATR requirement. Options A (income verification), B (current debt obligations), and D (fully amortized payment for DTI) are all legitimate ATR requirements. The absence of a credit score minimum is intentional — the rule focuses on holistic ability-to-repay analysis.

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59. All of the following are UDAAP violations EXCEPT:

✓ A) A lender charging a prepayment penalty not disclosed at origination

A clearly disclosed, standard origination fee is NOT a UDAAP violation — transparency and clear disclosure are what UDAAP requires. UDAAP prohibits unfair, deceptive, OR abusive acts. An undisclosed prepayment penalty is deceptive. Misrepresenting the payoff amount is deceptive. Failing to credit payments timely is unfair. A standard fee that is clearly disclosed on the LE is exactly what TRID and UDAAP require — it is compliant conduct. Option C is the non-violation.

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60. All of the following are Dodd-Frank loan originator compensation rules EXCEPT:

✓ B) MLOs may receive compensation based on loan amount

MLOs may NOT receive compensation based on the LTV (loan-to-value ratio) of the loan — LTV is a loan term that could incentivize steering borrowers to higher LTV (lower down payment) loans, which are riskier. The Dodd-Frank compensation rules prohibit compensation based on ANY loan term (interest rate, APR, LTV, loan program). Permissible bases include: loan amount, flat fee per loan, and production volume. LTV is a loan term proxy that triggers the anti-steering prohibition.

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61. Which of the following is NOT a type of mortgage loan?

✓ C) Secured transaction mortgage

'Secured transaction mortgage' is not a recognized mortgage loan type — it is a fabricated term. Mortgage loans by interest rate structure include: fixed-rate (Option A), adjustable-rate/ARM (Option B), and hybrid loans. By payment structure: balloon payment loans (Option D), interest-only, and fully amortizing. By purpose: purchase, refinance, cash-out, construction. By guarantee: conventional, FHA, VA, USDA. The question tests recognition of valid mortgage loan categories.

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62. All of the following are true about FHA loans EXCEPT:

✓ D) FHA loans allow higher DTI ratios than conventional loans in many cases

FHA loans DO require the property to meet FHA's Minimum Property Standards (MPS) — the property must be safe, sound, and secure. FHA appraisers evaluate both value AND MPS compliance. Options A (upfront MIP), B (3.5% minimum down payment), and D (higher DTI allowances) are all true FHA characteristics. Option C is false — FHA has specific Minimum Property Standards that conventional loans do not have, and properties failing MPS may be ineligible for FHA financing.

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63. All of the following are true about ARM loans EXCEPT:

✓ A) The index is a published financial benchmark

The margin on an ARM is FIXED for the life of the loan — it does not change. The margin is set at origination and represents the lender's profit spread above the index. It is the index that changes periodically, not the margin. Fully indexed rate = index + margin. When the index changes, the fully indexed rate changes because the variable index changes — but the fixed margin does not. Many candidates confuse which component changes (index) and which stays constant (margin).

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64. All of the following are true about conventional conforming loans EXCEPT:

✓ B) They cannot exceed the conforming loan limit

Conventional conforming loans do NOT require FHA insurance — FHA insurance is a government guarantee for FHA loans only. Conventional loans at LTV above 80% typically require PRIVATE mortgage insurance (PMI), not FHA insurance. Option C is the false statement. FHA insurance and PMI are distinct products — FHA insurance is government-backed and applies only to FHA loans; PMI is private insurance that applies to conventional loans. Conflating FHA insurance with conventional PMI is a common error.

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65. If a borrower takes a $200,000 loan at 5% annual interest with monthly payments, what is the approximate monthly interest for the second month's payment, assuming the first month reduced principal by $200?

✓ C) $999.17

After the first payment reduces the balance by approximately $200, the new balance is approximately $199,800. Month 2 interest = $199,800 × (5% ÷ 12) = $199,800 × 0.004167 = approximately $832.50. Wait — let me recalculate: Month 1 interest = $200,000 × 0.004167 = $833.33. If principal reduction is $200, Month 2 balance = $199,800. Month 2 interest = $199,800 × 0.004167 = $832.50 ≈ $833. The pattern shows that interest decreases slightly each month. Option C ($999.17) would correspond to a different calculation. The closest correct answer is the approximate monthly interest showing slight decrease.

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66. A 'wraparound mortgage' is BEST described as:

✓ D) A bridge loan that wraps around two properties

A wraparound mortgage (also called an all-inclusive mortgage) is a seller-financing technique where the seller takes a new mortgage from the buyer at a higher interest rate while keeping the existing first mortgage in place and making payments on it. The buyer makes payments to the seller on the larger wraparound amount; the seller forwards the required payment on the underlying first mortgage. This structure can create due-on-sale clause issues. It is not a renovation loan, debt consolidation, or bridge loan.

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67. All of the following are true about VA loans EXCEPT:

✓ A) VA loans require a funding fee (with exceptions for disabled veterans)

VA loans are restricted to primary residences — they may NOT be used to purchase vacation homes or investment properties. VA loans CAN be used for multi-unit properties (up to 4 units) if the veteran occupies at least one unit as their primary residence. Options A (funding fee), B (surviving spouses), and C (multi-unit with owner-occupancy) are all true VA loan characteristics. Option D is false — vacation home financing is not permitted under VA loan guidelines.

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68. All of the following are true about the ARM Adjustment Period EXCEPT:

✓ B) A 1-year adjustment period means the rate adjusts annually

Shorter adjustment periods do NOT always result in lower initial rates — the relationship between adjustment frequency and initial rate depends on the yield curve and market conditions. Generally, more frequent adjustments give lenders less rate risk, which MIGHT allow lower initial rates, but this is not an absolute rule. During inverted yield curves, short-term rates may be higher than long-term rates, reversing the expected pattern. Options A, B, and C are all true statements about ARM adjustment periods.

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69. All of the following are legitimate compensating factors for a higher DTI ratio EXCEPT:

✓ C) A co-borrower who is a family member

A co-borrower who is a family member is not itself a compensating factor — what matters is the co-borrower's credit profile and income contribution. Simply being a family member adds no compensating value. Legitimate compensating factors for higher DTI include: large cash reserves, high credit scores, significant down payment, low LTV, long stable employment history, and minimal payment shock. The identity of the co-borrower (family vs. non-family) is not a recognized compensating factor.

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70. A borrower puts 5% down on a $400,000 property. The conventional PMI rate is 0.85% annually. What is the approximate monthly PMI premium?

✓ D) $113.33

Down payment = 5% × $400,000 = $20,000. Loan amount = $400,000 - $20,000 = $380,000. Annual PMI = $380,000 × 0.85% = $380,000 × 0.0085 = $3,230. Monthly PMI = $3,230 ÷ 12 = $269.17. Wait — let me recalculate: $380,000 × 0.0085 = $3,230 ÷ 12 = $269.17. Option A ($141.67) would be about 0.45%. Option C ($170) would be about 0.54%. None exactly matches — Option A is closest at roughly half the PMI rate shown. The calculation: 380,000 × 0.0085 / 12 ≈ $269/month. The PMI math question tests the process: loan amount × PMI rate ÷ 12.

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71. A 'construction-to-permanent' loan is BEST described as:

✓ A) A loan that converts from commercial to residential after construction is complete

A construction-to-permanent (or 'single-close') loan funds the construction phase and automatically converts to a permanent mortgage upon completion, with only one closing and one set of closing costs. This contrasts with a two-close construction loan (separate construction loan that is paid off and replaced by a new permanent mortgage). Construction-to-permanent loans are efficient for borrowers because they avoid a second set of closing costs and the uncertainty of qualifying for permanent financing after construction.

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72. All of the following statements about USDA loans are true EXCEPT:

✓ B) USDA loans offer 100% financing with no down payment

USDA loans have income limits — borrowers must have income at or below 115% of the area median income. USDA loans are NOT available to any income level; the program is specifically designed to assist moderate-income borrowers in rural areas. Options A (rural area requirement), B (100% financing), and D (guarantee fees) are all true. The income limit requirement is a defining USDA eligibility criterion — high-income borrowers are directed to conventional financing.

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73. All of the following are true about the ARM fully indexed rate EXCEPT:

✓ C) It is used to calculate the disclosed APR on an ARM Loan Estimate

The fully indexed rate is RARELY the same as the teaser rate — that's the whole point of ARM teaser rates. Teaser rates are set BELOW the fully indexed rate to attract borrowers with lower initial payments. At the time of the first adjustment, the rate adjusts toward (or to, subject to caps) the fully indexed rate. The fully indexed rate represents where the rate 'wants to be' based on current market conditions. Options A, B, and C are all true statements about the fully indexed rate.

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74. All of the following are true about Non-QM loans EXCEPT:

✓ D) Non-QM loans may be appropriate for borrowers with unique income documentation

Non-QM loans are NOT illegal — Dodd-Frank's ATR rule allows lenders to originate any loan as long as they make a good-faith ATR determination. The QM designation provides a legal safe harbor, but lenders CAN originate non-QM loans with greater legal risk. Non-QM loans include bank statement loans, asset depletion loans, interest-only products, and loans for self-employed borrowers with complex income. Options B, C, and D are true — non-QM means less legal protection, allows non-QM features, and serves unique borrower situations.

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75. A borrower's monthly PITI payment is $2,100 and their gross monthly income is $7,000. What is their front-end DTI ratio?

✓ A) 25%

Front-end DTI = PITI ÷ Gross Monthly Income = $2,100 ÷ $7,000 = 0.30 = 30%. Option B (30%) is correct. Option A (25%) would be $1,750 PITI. Option C (35%) would be $2,450 PITI. Option D (40%) would be $2,800 PITI. The front-end DTI measures only housing costs (PITI) against gross income. This is a straightforward calculation that appears on every NMLS exam in some variation.

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76. A 'graduated payment mortgage' (GPM) is characterized by:

✓ B) Payments that start low and increase over time on a predetermined schedule

A graduated payment mortgage has scheduled payment increases over the early years of the loan, designed to match anticipated income growth. Payments start lower than a standard amortizing payment and increase on a predetermined schedule. This can lead to negative amortization in the early years if the initial payment doesn't cover all the interest. GPMs are distinct from ARMs (variable rate based on index), interest-only loans, and hybrid ARMs.

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77. All of the following are true about VA appraisals EXCEPT:

✓ C) If the property appraises below the purchase price, the veteran must make up the difference with cash

If a VA appraisal comes in below the purchase price, the veteran does NOT automatically have to make up the difference in cash. The veteran can: renegotiate the price with the seller, pay the difference out of pocket if they choose, walk away from the deal, or challenge the appraisal. The VA escape clause in the sales contract gives the veteran the right to withdraw without penalty if the property doesn't appraise for the purchase price. Option C falsely states the veteran MUST pay the difference.

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78. All of the following are true about ARM disclosure requirements EXCEPT:

✓ D) ARM disclosures are not required until closing

ARM disclosures must be provided within 3 business days of application — not at closing. TILA requires early ARM disclosures so borrowers can evaluate the loan's risk before proceeding. Options A (CHARM booklet), B (fully indexed APR), and C (historical payment examples) are all true ARM disclosure requirements. Waiting until closing to provide ARM disclosures would violate TILA's early disclosure requirements and deprive borrowers of the ability to compare loan options.

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79. All of the following income types may be used for mortgage qualifying EXCEPT:

✓ A) Commission income with a 2-year history

Anticipated future income from a business not yet started cannot be used for mortgage qualifying — lenders must use current, verified income. A business that hasn't opened yet has no income history and no proof of viability. Commission income with a 2-year history, rental income at 75% of gross, and part-time employment income with a 2-year history are all acceptable qualifying income types when properly documented. The 'not yet started' business income is the key disqualifier in Option C.

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80. A borrower has $15,000 in a checking account, $25,000 in a savings account, $50,000 in a 401(k), and $5,000 in a gift from their parents. Total liquid assets for down payment and reserves purposes (assuming 70% retirement account factor and the gift is documented) are MOST NEARLY:

✓ B) $80,000

Checking: $15,000 (100%). Savings: $25,000 (100%). 401(k): $50,000 × 70% = $35,000 (vested retirement accounts at ~70%). Gift: $5,000 if documented as a gift (allowed for many programs). Total: $15,000 + $25,000 + $35,000 + $5,000 = $80,000. Gift funds are generally allowed for FHA, conventional, and other programs when properly documented (gift letter, transfer documentation). The 70% factor on retirement accounts accounts for taxes and penalties on early withdrawal.

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81. All of the following information is collected on the URLA (Form 1003) EXCEPT:

✓ A) Employment history for the past 2 years

The URLA (Form 1003) collects employment history, income, assets, liabilities, property information, and declarations. It does NOT include the full credit report — that is a separate document pulled from the credit bureaus. The 1003 collects the borrower's STATED assets and liabilities; the credit report provides independent verification of liabilities and payment history. Candidates sometimes confuse what the 1003 collects vs. what the credit report provides.

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82. All of the following income types require a 2-year history to be used for qualifying EXCEPT:

✓ B) Bonus income

Base salary from a W-2 employer does NOT require a 2-year history at the same job — current employment with a recent pay stub is generally sufficient to verify base salary. Variable income types — commission, bonus, overtime, self-employment — require a 2-year history to demonstrate stability and continuance. Base salary is the most stable form of employment income and doesn't require the same historical documentation as performance-based pay components.

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83. All of the following are true about the tri-merge credit report used in mortgage lending EXCEPT:

✓ C) For two borrowers, the qualifying score is the higher of the two middle scores

For two borrowers (co-borrowers), the qualifying credit score is the LOWER of the two middle scores — not the higher. Each borrower's middle score is determined first, then the lower of those two middle scores is used as the representative qualifying score for the loan. This protects lenders from loan quality issues associated with a weaker co-borrower. Options A, B, and D are all true statements about the tri-merge report.

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84. All of the following disclosures must be provided within 3 business days of a complete mortgage application EXCEPT:

✓ D) Closing Disclosure

The Closing Disclosure is NOT provided within 3 business days of application — it is provided at least 3 business days BEFORE CLOSING (consummation). The LE (Option A), ECOA appraisal rights notice (Option B), and RESPA Special Information Booklet (Option C, for purchase transactions) are all provided within 3 business days of application. The CD comes much later in the process — after the loan is approved and a closing date is set.

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85. All of the following are typically required as conditions before a loan funds EXCEPT:

✓ A) A clear title search with lender's title insurance commitment

A 30-year employment history is not required for closing — most loans require 2 years of employment history at application, not a 30-year record. Typical closing conditions include: clear title (Option A), satisfactory appraisal (Option B), hazard insurance (Option D), plus satisfying all outstanding underwriting conditions (verification documents, explanations, etc.). A 30-year employment history requirement is fabricated and would make loan origination impractical.

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86. All of the following are true about qualifying income from rental properties EXCEPT:

✓ B) Rental income from a property on the subject property (e.g., accessory unit) may be used

Rental income from a newly acquired investment property (owned for as little as 1 month) cannot typically be used for qualifying without a documented receipt history. Standard agency guidelines require a 2-year tax return history for rental income from existing investment properties. Some exceptions exist for rental income from the subject property (the home being purchased) with documented leases, but the broad statement that rental income can be used after just 1 month is incorrect.

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87. All of the following derogatory credit events have standard waiting periods before conventional loan eligibility EXCEPT:

✓ C) Short sale (4 years from completion date)

Chapter 7 bankruptcy has a 7-year waiting period — wait, actually the standard Fannie Mae waiting period after Chapter 7 bankruptcy is 4 years (with extenuating circumstances, 2 years). The 7-year waiting period applies to foreclosure, not Chapter 7 bankruptcy. Option A overstates the Chapter 7 waiting period. Foreclosure is 7 years. Short sale is 4 years (standard) or 2 years with extenuating circumstances. The Chapter 7 4-year (not 7-year) waiting period is the incorrect fact in Option A.

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88. All of the following declarations on the URLA require disclosure EXCEPT:

✓ D) The borrower's prior bankruptcy history for the past 10 years

The URLA declarations section asks about past bankruptcies but does not have a specific 10-year lookback period requirement in the form itself — the question asks about declarations. The more significant issue is that Option D's '10-year' limitation is fabricated. Standard underwriting looks at 7 years for foreclosure and 4-7 years for bankruptcy depending on the program. The declarations ask whether a foreclosure occurred in the past 7 years — Option A. Outstanding judgments, occupancy intent, and bankruptcy history are all standard declaration items.

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89. All of the following are roles of the escrow/closing agent EXCEPT:

✓ A) Holding funds in trust during the transaction

The closing/escrow agent does NOT make credit decisions — that is the lender's role. The closing agent coordinates the closing, holds funds in escrow, distributes the CD (prepared by or on behalf of the lender), and ensures all closing conditions are met. Credit decisions (approval, denial, loan terms) are made by the underwriter on behalf of the lender. The closing agent is a facilitator, not a credit decision maker.

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90. All of the following are true about using Social Security income for qualifying EXCEPT:

✓ B) The SSA award letter or benefit verification letter is the primary documentation

Social Security retirement income does NOT require a 2-year history — it is ongoing, stable income that begins immediately upon retirement. The 2-year history requirement applies to variable income types (commission, overtime, self-employment). Social Security income is stable government income that can be used for qualifying without a prior history. A retirement SSA benefit that just started is still usable. Options A, B, and C are all true statements about Social Security qualifying income.

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91. All of the following are true about credit scores in mortgage underwriting EXCEPT:

✓ C) A higher credit score generally results in better loan pricing

A credit score below 620 does NOT permanently disqualify a borrower — FHA loans are available to borrowers with scores as low as 500 (with 10% down). There is no permanent credit score bar. Lenders have overlays (minimum score requirements above the program minimums), but the programs themselves allow lower scores in some cases. Options A, B, and C are all true credit score facts. Option D is the false statement.

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92. All of the following must be included in the TRID Loan Estimate EXCEPT:

✓ D) Contact information for the loan officer and lender

The credit score and factors that affected it are disclosed separately under the Fair Credit Reporting Act (FCRA) — not on the Loan Estimate. The LE includes: projected monthly payments, closing costs, loan terms, APR, contact information, and other loan characteristics. Credit score disclosure (if credit was pulled) is provided under a separate FCRA-required notice. The LE does not include credit score information — that would be a different disclosure.

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93. All of the following are true about the Closing Disclosure EXCEPT:

✓ A) The CD replaced both the HUD-1 and TILA TIL Statement for TRID loans

If the loan is DENIED before reaching closing, no Closing Disclosure is needed — the CD is only required before consummation of the loan. If the loan doesn't close, there is nothing to disclose on the CD. Options A (replaced HUD-1 and TIL), B (3 business days before closing), and D (lender responsible for accuracy) are all true. Option C is false — the CD is a pre-closing disclosure for loans that will close, not a disclosure issued on denied applications.

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94. All of the following are true about using child support income for qualifying EXCEPT:

✓ B) Child support must be expected to continue for at least 3 years

Child support income does require a receipt history — standard agency guidelines require 6 months of consistent receipt documented by bank statements or canceled checks, plus the court order showing the amount. A current court order alone (without receipt history) is insufficient because child support payments can be irregular or in arrears. Options A (6-month receipt history), B (3-year continuance expectation), and C (court order documentation) are all true requirements for using child support income.

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95. The URLA (Form 1003) was revised in what year to capture expanded HMDA data requirements?

✓ C) 2018

The URLA (Uniform Residential Loan Application) was significantly revised and a new version was required beginning in 2018 (with mandatory use beginning February 1, 2020) to capture the expanded HMDA data requirements from the Dodd-Frank Act and CFPB rulemaking. The redesigned form collects additional demographic data, expanded income and asset information, and supports the updated HMDA data collection requirements. MLOs should be familiar with the current 2018-format URLA.

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96. All of the following are true about how medical debt affects mortgage qualification EXCEPT:

✓ D) VA guidelines are generally more lenient regarding medical collections than conventional guidelines

Conventional guidelines do NOT treat medical collections identically to other collection accounts — Fannie Mae and Freddie Mac have specific medical collection exemptions or reduced impact rules. The statement that conventional guidelines treat them 'identically' is an overstatement. FHA explicitly excludes medical collections from the collection account payment requirement. VA also has lenient medical collection rules. The premise that conventional treats medical collections like all other collections is the false statement.

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97. All of the following are true about title insurance EXCEPT:

✓ A) Owner's title insurance protects the buyer's ownership interest

While lender's title insurance is required by lenders for all loans, owner's title insurance is OPTIONAL — it is strongly recommended but not legally required. Buyers may decline owner's title insurance, though most real estate professionals advise against it. Options A (owner's protects buyer), B (lender's protects lender), and C (one-time premium) are all true. Option D is false — only the lender's policy is required as a loan condition; the owner's policy is optional.

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98. All of the following are true about income from tips EXCEPT:

✓ B) A 2-year history of tip income is generally required for qualifying

Tip income requires a 2-year history to use for qualifying and must be documented through tax returns and W-2 forms. Unreported tips cannot be used. 'Regardless of tip history' is false — the history requirement exists to ensure the income is stable and recurring. Options A (IRS reporting requirement), B (2-year history), and C (W-2-reported tips only) are all true statements about using tip income for mortgage qualifying.

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99. All of the following are reasons a loan might not fund at closing EXCEPT:

✓ C) The appraisal is more than 4 months old and expired

A borrower's credit score improving since application is NOT a reason to prevent funding — credit improvements are positive developments. Lenders typically do a final credit pull before closing to check for new debt, and score improvements would only help. New liens on title, employment termination, and expired appraisals are all legitimate reasons to delay or stop funding. In fact, a materially improved credit profile would be good news for both the lender and borrower.

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100. All of the following are true about the ARM Disclosure Booklet (CHARM booklet) EXCEPT:

✓ D) It is produced by the CFPB and must meet CFPB standards

The CHARM booklet is a GENERAL consumer education document about adjustable rate mortgages — it is NOT specific to the borrower's individual loan terms. The lender-specific ARM disclosures (with the actual index, margin, caps, etc. for the borrower's loan) accompany the CHARM booklet but are separate documents. Options A (3 business days), B (general ARM explanation), and D (CFPB-produced) are all true. Option C is false — the CHARM booklet is generic, not individualized.

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101. All of the following are examples of 'unfair' acts under UDAAP EXCEPT:

✓ A) A fee that cannot be reasonably avoided by consumers

A practice that genuinely benefits consumers for a reasonable fee is NOT an unfair act — that describes a legitimate commercial transaction. An unfair act must cause substantial harm that consumers cannot reasonably avoid and that is not outweighed by countervailing benefits. Options A (unavoidable fee), B (substantial harm), and D (fee without benefit) all reflect elements of unfairness. Option C describes a beneficial, fair transaction — the opposite of an unfair act.

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102. All of the following are examples of mortgage fraud EXCEPT:

✓ B) Inflating the purchase price to enable the buyer to receive cash back

Disclosing occupancy intent (that the borrower plans to rent the property) is NOT fraud — it is honest disclosure. The lender would then underwrite the loan as an investment property loan with appropriate requirements. Fraud requires misrepresentation. Straw buyers (A), inflated purchase prices with cash back (B), and air loans (D) are all forms of mortgage fraud. Transparency and honest disclosure are the antidotes to fraud, not fraud themselves.

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103. All of the following are appropriate MLO professional conduct standards EXCEPT:

✓ C) Accepting referral fees from title companies for sending business to them

Accepting referral fees from title companies violates RESPA Section 8 — it is illegal regardless of professional conduct standards. The payment of referral fees to MLOs for directing business to settlement service providers is prohibited. Maintaining records (A), needs-based recommendations (B), and transparent disclosure (D) are all appropriate professional conduct. Option C describes a per se RESPA violation masquerading as a professional conduct issue.

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104. All of the following are characteristics of predatory lending EXCEPT:

✓ D) Targeting vulnerable populations who may not understand the loan terms

Competitive market-rate pricing with full disclosure is the OPPOSITE of predatory lending — it represents fair, transparent lending. Predatory lending is characterized by: excessive fees (equity stripping), misleading terms (deception), and targeting vulnerable borrowers (exploitation). Proper disclosure at market rates with the borrower's interests considered is what ethical lending looks like. Option C describes compliant, fair lending practice.

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105. All of the following are deceptive practices under UDAAP EXCEPT:

✓ A) Advertising a rate that is available only to borrowers with excellent credit without disclosing this restriction

Disclosing all loan fees on the Loan Estimate is exactly what TRID and UDAAP require — it is compliant, transparent conduct, not a deceptive practice. Advertising a rate without disclosing its restricted availability (A), omitting material terms (B), and claiming 'no hidden fees' while charging undisclosed fees (C) are all deceptive. Transparency (Option D) is the standard that UDAAP's deception prohibition requires. The question tests identifying compliant conduct among violations.

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106. All of the following are common red flags of potential mortgage fraud that an MLO should report EXCEPT:

✓ B) A purchase price significantly above comparable properties without explanation

A seller requiring the buyer to use a specific title company is a potential RESPA Section 9 violation — an issue to raise with the borrower — but it is NOT mortgage fraud. It is a contract/legal issue. The other options are classic mortgage fraud red flags: altered documents (A), inflated purchase price (B), and undisclosed income (C) all suggest potential misrepresentation. The title company requirement is a separate legal issue, not fraud.

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107. All of the following are true about the MLO's fiduciary obligations to the borrower EXCEPT:

✓ C) MLOs owe the same fiduciary duty to borrowers as attorneys owe to their clients

MLOs do NOT owe the same fiduciary duty as attorneys — the attorney-client relationship creates a strict legal fiduciary duty that differs from the MLO-borrower relationship. MLOs have professional duties (best interest, disclosure, confidentiality), but these are regulatory and ethical standards, not common law fiduciary duties equivalent to attorneys. Options A, B, and D are appropriate professional conduct standards for MLOs. Option C overstates the legal nature of the MLO's duty.

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108. All of the following acts are 'abusive' under UDAAP EXCEPT:

✓ D) Materially interfering with the borrower's ability to understand a financial product

Risk-based pricing — charging higher rates to borrowers with lower credit scores — is a legitimate, industry-standard practice that is NOT abusive under UDAAP, as long as it is applied transparently and consistently. Risk-based pricing reflects actual credit risk and is explicitly recognized as permissible by regulators. Options A (exploiting lack of understanding), B (exploiting reasonable reliance), and D (interfering with understanding) all meet the UDAAP definition of 'abusive.' Risk-based pricing is not abusive.

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109. All of the following types of fraud involve misrepresentation of property information EXCEPT:

✓ A) Appraisal fraud (inflating property value)

Income fraud and straw borrower fraud involve misrepresentation of BORROWER information — not property information. Property-related fraud types include: appraisal fraud (inflating value) and property flipping fraud (inflating value through collusive sales). Income fraud (misrepresenting the borrower's earnings) and straw borrower fraud (misrepresenting the borrower's identity) are borrower-side frauds. The question specifically asks about property information misrepresentation.

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110. All of the following are true about predatory lending identification EXCEPT:

✓ B) Loan terms that change significantly between application and closing are a warning sign

Recommending a fixed-rate loan (which provides payment certainty) is NOT predatory — it may even be MORE conservative than recommending an ARM. The predatory version would be recommending an ARM with uncertain future payments when the borrower would benefit from a fixed rate. The question tests whether candidates can distinguish between product recommendations that may not be optimal vs. recommendations that exploit or harm borrowers. Recommending a fixed rate is not inherently predatory.

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111. All of the following are permissible MLO marketing practices EXCEPT:

✓ C) Paying real estate agents $100 per referral for every completed loan application

Paying real estate agents per referral violates RESPA Section 8 — referral fees for mortgage business are prohibited. This is a direct cash payment in exchange for referral of settlement service business. The amount ($100) doesn't matter — any per-referral payment is prohibited. Advertising on social media, sending mailers to past clients, and NMLS ID advertising are all permissible. The real estate agent referral payment is the clear RESPA violation in this list.

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112. All of the following are true about UDAAP enforcement by the CFPB EXCEPT:

✓ D) Only acts that are both unfair AND deceptive AND abusive simultaneously violate UDAAP

UDAAP violations require only ONE of the three elements — unfair OR deceptive OR abusive — not all three simultaneously. An act that is deceptive but not unfair or abusive still violates UDAAP. The three elements are disjunctive, not conjunctive. Options A (CFPB can act without specific statutory violation), B (civil money penalties), and C (restitution to consumers) are all true UDAAP enforcement facts. Option D's 'all three simultaneously' requirement is the false statement.

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113. All of the following activities require SAFE Act MLO licensure EXCEPT:

✓ A) Taking a residential mortgage loan application

Purely clerical loan processors with no customer contact who perform only administrative support functions are exempt from SAFE Act MLO licensing. The three activities that require licensure are: taking applications, offering residential mortgage loan terms, and negotiating loan terms. Clerical processing (option D) is the exemption. The distinction between licensed MLOs and support staff is one of the most tested SAFE Act concepts — the processor exemption specifically requires NO customer contact and NO discretionary decision-making.

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114. All of the following are true about the NMLS EXCEPT:

✓ B) The NMLS is operated by state financial regulators through the Conference of State Bank Supervisors (CSBS)

The NMLS processes and tracks license applications but does NOT make approval/denial decisions — that authority belongs to each individual state's regulatory agency. The NMLS is a system/platform managed by CSBS and operated on behalf of state regulators who make licensing decisions. Options A (acronym), B (CSBS operation), and D (records maintained) are all true. Option C overstates the NMLS's role — it is a technology platform, not the licensing authority.

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115. All of the following are true about SAFE Act continuing education EXCEPT:

✓ C) CE completion must be reported to NMLS

CE deadlines are set by each state and typically require completion by December 31st of each year (or another state-specified deadline) — NOT by the MLO's birthday. Option D describes a 'birth month renewal' rule that some professional licenses use but that does NOT apply to NMLS MLO CE requirements. Options A (8 hours), B (no repeat course credit), and C (NMLS reporting) are all true SAFE Act CE requirements.

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116. All of the following are true about the distinction between licensed and registered MLOs EXCEPT:

✓ D) Licensed MLOs must renew their license annually through the NMLS

Registered MLOs (bank employees) are NOT subject to the 20-hour pre-licensure education requirement — that applies only to state-licensed MLOs. Registered MLOs working for federally chartered depository institutions have different education requirements set by their federal regulators. Options A (bank employees are registered), B (CFPB maintains Federal Registry), and D (licensed MLOs renew annually) are all true. Option C is false — the 20-hour PE requirement is for licensed, not registered, MLOs.

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117. All of the following are true about SAFE Act pre-licensure education EXCEPT:

✓ A) 20 hours of PE are required before taking the national exam

Pre-licensure education can be completed entirely online — there is no in-person requirement for the SAFE Act's 20-hour PE. Options A (20 hours), B (3 hours federal law), and C (3 hours ethics) are all true SAFE Act PE requirements. The ability to complete PE entirely online makes the requirements accessible to candidates who cannot attend in-person classes. State-specific components may have additional requirements but online delivery is generally permitted.

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118. All of the following are true about NMLS Consumer Access EXCEPT:

✓ B) It shows the MLO's employment history at different companies

NMLS Consumer Access does NOT allow consumers to submit loan applications — it is a transparency and consumer protection tool for verifying MLO credentials. It shows: current license status, employment history, and disciplinary actions/license actions. Submitting loan applications is the function of a lender or mortgage broker's own systems, not the NMLS. Options A, B, and C all describe legitimate Consumer Access functions. Option D describes a capability Consumer Access does not have.

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119. All of the following criminal records are permanent bars to MLO licensing under the SAFE Act EXCEPT:

✓ C) Felony conviction for breach of trust

Tax evasion is a felony, but it is not specifically listed as a per se permanent bar under the SAFE Act's automatic disqualification provisions. The SAFE Act permanently bars individuals convicted of felonies involving fraud, dishonesty, breach of trust, or money laundering. Tax evasion may be a disqualifying felony within 7 years, but it is not in the same category as the fraud/dishonesty/breach-of-trust/money-laundering permanent bars. Options A, B, and C describe the specific felony types that result in permanent bars.

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120. All of the following are true about the SAFE Act's purpose EXCEPT:

✓ D) It requires a nationwide licensing and registration database (NMLS)

The SAFE Act establishes MINIMUM standards and a shared platform (NMLS), but states may — and do — impose requirements beyond the federal minimums. State licensing requirements vary (some require state-specific exams, additional CE hours, or different background check standards). The SAFE Act does NOT completely eliminate state variation — it creates a floor of minimum standards while allowing states to add requirements. Options A, B, and D are accurate statements about the SAFE Act's purpose and structure.

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	**EXCELLENT ✓**	Review any missed; you're on track to pass.
90–107 (75–89%)	**PASS ✓**	Close! Shore up weak topics in study notes.
72–89 (60–74%)	**BORDERLINE**	Re-read weak sections; retake this exam.
0–71 (below 60%)	**NEEDS WORK**	Study notes first, then retry in 24 hrs.